

SENATE No. 235

The Commonwealth of Massachusetts

PRESENTED BY:

Paul R. Feeney

To the Honorable Senate and House of Representatives of the Commonwealth of Massachusetts in General Court assembled:

The undersigned legislators and/or citizens respectfully petition for the adoption of the accompanying bill:

An Act regulating internet gaming.

PETITION OF:

NAME:	DISTRICT/ADDRESS:	
<i>Paul R. Feeney</i>	<i>Bristol and Norfolk</i>	
<i>Nick Collins</i>	<i>First Suffolk</i>	<i>2/4/2026</i>

SENATE No. 235

By Mr. Feeney, a petition (accompanied by bill, Senate, No. 235) of Paul R. Feeney for legislation to ensure the Gaming Commission regulates internet gaming. Consumer Protection and Professional Licensure.

The Commonwealth of Massachusetts

In the One Hundred and Ninety-Fourth General Court
(2025-2026)

An Act regulating internet gaming.

Be it enacted by the Senate and House of Representatives in General Court assembled, and by the authority of the same, as follows:

1 SECTION 1. Section 7 of chapter 4 of the General Laws is hereby amended by striking
2 out clause Tenth, as appearing in the 2024 Official Edition, and inserting in place thereof the
3 following clause:-

4 Tenth, "Illegal gaming", a banking or percentage game played with cards, dice, tiles,
5 dominoes, or an electronic, electrical or mechanical device or machine for money, property,
6 checks, credit or any representative of value, but excluding: (i) a lottery game conducted by the
7 state lottery commission under sections 24, 24A and 27 of chapter 10; (ii) a game conducted
8 under chapter 23K; (iii) sports wagering conducted under chapter 23N; (iv) internet gaming
9 conducted under chapter 23O; (v) pari-mutuel wagering on horse races under chapters 128A and
10 128C and greyhound races under said chapter 128C; (vi) a game of bingo conducted under
11 chapter 271; (vii) charitable gaming conducted under said chapter 271; and (viii) a fantasy
12 contest conducted under section 11M½.

SECTION 2. Section 7 of chapter 4 of the General Laws is hereby amended by striking out clause Tenth, as inserted by section 1, and inserting in place thereof the following clause:-

Tenth, “Illegal gaming”, a banking or percentage game played with cards, dice, tiles, dominoes, or an electronic, electrical or mechanical device or machine for money, property, checks, credit or any representative of value, but excluding: (i) a lottery game conducted by the state lottery commission under sections 24, 24A and 27 of chapter 10; (ii) a game conducted under chapter 23K; (iii) sports wagering conducted under chapter 23N; (iv) internet gaming conducted under chapter 23O; (v) pari-mutuel wagering on horse races under chapters 128A and 128C; (vi) a game of bingo conducted under chapter 271; and (vii) charitable gaming conducted under said chapter 271.

SECTION 3. Section 4 of chapter 23K of the General Laws, as appearing in the 2024 Official Edition, is hereby amended by inserting the following subsection:-

(43) regulate and enforce chapter 23O relating to internet gaming.

SECTION 4. The General Laws are hereby amended by inserting after chapter 23N the following chapter:-

CHAPTER 23O

AUTHORIZATION AND REGULATION OF INTERNET GAMING

Section 1. This chapter shall be known and may be cited as the "Massachusetts Internet Gaming Act".

Section 2. Notwithstanding any general or special law to the contrary, the operation of internet gaming and ancillary activities shall be lawful when conducted in accordance with this chapter and the rules and regulations of the commission.

Section 3. As used in this chapter the following words shall, unless the context clearly requires otherwise, have the following meanings:

"Adjusted gross internet gaming receipts", the total gross receipts from internet gaming less the sum of: (i) the total of all winnings paid to patrons, which shall include the monetary value of any merchandise or thing of value awarded as a prize; (ii) promotional credits as specified in Section 14(b), and (iii) the amount of voided or cancelled wagers.

"Affiliate", a person who directly or indirectly controls, or is controlled by, or is under common control with, a specified person.

"Applicant", a person who has applied for a license to engage in activity regulated under this chapter.

"Category 1 license", a license issued by the commission to a gaming licensee, as defined in section 2 of chapter 23K, that permits the operation of internet gaming.

"Category 2 license", a license issued by the commission to an entity that is not a gaming licensee as defined in section 2 of chapter 23K, that permits the operation of internet gaming.

"Close associate", a person who holds a relevant financial interest in, or is entitled to exercise power in, the business of an applicant or licensee and, by virtue of that interest or power, is able to exercise a

significant influence over the management or operation of a gaming establishment or business licensed under this chapter.

"Commission", the Massachusetts gaming commission established in section 3 of chapter 23K.

"Governmental authority", any governmental unit of a national, state or local body exercising governmental functions, except the United States government.

"Internet game", an internet-based game conducted on a computer, mobile device or any other interactive device, in which a patron wagers money or something of monetary value for the opportunity to win money or something of monetary value. Authorized games include but are not limited to poker, blackjack, craps, roulette, cards, slots, and any other games or those substantially equivalent typically offered at a casino, and any other game approved by the Commission.

"Internet gaming", the business of accepting wagers on internet games.

"Internet gaming account", a financial record established by an operator for a patron in which the patron may deposit by any method approved by the commission and withdraw funds for internet gaming and other authorized purchases, and to which the operator may credit winnings or other amounts due to or authorized by that patron; provided, however, that such account may be established and funded by the patron electronically through an approved internet gaming platform, and the patron may be permitted to use the same account to participate in interactive gaming and mobile or digital sports wagering pursuant to chapter 23K with an operator licensed to conduct both internet gaming and mobile or digital sports wagering.

“Internet gaming platform provider”, an entity that contracts with a holder of a Category 1 license to provide an internet gaming platform on its behalf, and holds an internet gaming platform provider license issued by the Commission.

"Internet gaming platform", a system of associated websites, mobile applications, or other interactive platforms accessible via the internet, mobile, wireless, or similar communication technology that a patron may use to engage in internet gaming.

“Internet gaming reciprocal agreement”, an agreement with any foreign or domestic government or governmental agency allowing for multijurisdictional internet gaming by individuals who are physically located in jurisdictions over which the governments that are party to the agreement exercise legal authority.

"Internet gaming wager", a wager on an internet game.

"License", any license applied for or issued by the commission under this chapter, including, but not limited to: (i) an operator license or (ii) an occupational license.

“Live dealer internet game”, an internet game conducted by a gaming attendant (e.g., dealer, croupier, etc.) or gaming equipment (e.g., an automated roulette wheel, ball blower, gaming device, etc.), or both, in a live internet game environment in which video is streamed to an internet gaming platform and patrons have the ability to communicate game decisions through the internet gaming platform, and may be permitted to interact with game attendants and fellow patrons.

“Live internet game environment”, a physical location that uses live video and audio streaming technology to provide an internet gaming operator with a live dealer internet game simulcast.

"National criminal history background check", a criminal history background check conducted using the criminal history record system maintained by the Federal Bureau of Investigation and based on fingerprint identification or any other method of positive identification.

"Occupational license", a license required to be held by an employee of an operator when the employee performs duties directly related to the operation of internet gaming in the commonwealth in a supervisory role.

"Operator" or "internet gaming operator", any entity permitted under this chapter to offer internet gaming to persons in the commonwealth through a category 1 license or category 2 license.

"Operator license", a category 1 license or category 2 license to operate internet gaming.

"Person", an individual, corporation, association, entity, operation, firm, partnership, trust or other form of business association.

“Poker”, the traditional game of poker, and any derivative of the game of poker as approved by the Commission, in which 2 or more authorized participants play against each other and wager on the value of the cards in the authorized participants' hands.

"Promotional gaming credit", an internet gaming credit or other item issued by an operator free of charge to a patron to enable the placement of an internet gaming wager.

"Qualified gaming entity", an entity that: (i) holds a gaming license as defined in section 2 of chapter 23K; or (ii) offers an internet gaming pursuant to a valid license in three or more jurisdictions in the United States.

"Permissible jurisdiction" a jurisdiction other than this commonwealth from which wagers on internet gaming may be accepted pursuant to an internet gaming reciprocal agreement.

"Wager", a sum of money or thing of value risked on an uncertain occurrence.

Section 4. (a) The commission shall regulate the conduct of internet gaming under this chapter.

(b) The commission shall promulgate rules and regulations necessary for the implementation, administration and enforcement of this chapter. The commission may promulgate emergency rules and regulations in accordance with applicable procedures for the promulgation of emergency rules and regulations.

(c) The commission shall promulgate regulations to prohibit the following advertising, marketing and branding activities: (A) advertisements, marketing and branding in such a manner that it is deceptive, false, misleading, or untrue, or tends to deceive or create a misleading impression whether directly, or by ambiguity or omission; (B) use of unsolicited pop-up advertisements on the internet or by text message directed to an individual on the list of self-excluded persons; (C) advertising, marketing and branding that targets a person younger than 21 years old; and (D) advertising on any billboards, or any other public signage, which fails to comply with any federal, state or local law.

(d)(1) The commission may promulgate rules and regulations including, but not limited to, those governing the acceptance of wagers on an internet game, types of wagering receipts which may be used; methods of issuing receipts; methods of accounting to be used by operators; types of records to be kept; types of systems for wagering; and any other internet gaming- related issues.

(2) The commission shall promulgate rules and regulations regarding protections for patrons placing wagers and the promotion of social responsibility and responsible gaming that shall include, but not be limited to, a requirement that an operator: (i) implement responsible gaming programs that include comprehensive employee trainings on responding to circumstances in which individuals present signs of gambling addiction; (ii) assess and address problem gaming by an operator's consumers; (iii) permit a consumer to permanently close an account registered to the consumer on any or all internet gaming platforms owned or operated by the operator at any time and for any reason; (iv) offer consumers access to their account history and account details; (v) refrain from making claims as to a consumer's winnings or money earned that is not net of wagers placed; (vi) allow a consumer to withdraw funds without further solicitation or promotion in the manner in which the funds were deposited; (vii) annually submit a problem gaming plan for approval by the commission, in consultation with the department of public health, that includes the objectives of and timetables for implementing the plan, identification of the persons responsible for implementing and maintaining the plan, procedures for identifying consumers with suspected or known problem gaming behavior, procedures for providing information to consumers concerning problem gaming identification and resources, procedures to prevent gaming by minors and self-excluded persons and any other information the commission may require; and (viii) shall not offer or provide a line of credit to any consumer.

(3) The commission shall promulgate regulations that require internet gaming platforms to prominently display upon each entry into the application or platform the telephone number “1-800-GAMBLER” and website for a problem gambling hotline overseen by the department of public health.

(e) The commission shall: (i) determine the eligibility of a person to hold or continue to hold a license; (ii) issue all licenses; and (iii) maintain a record of all licenses issued under this chapter.

(f) The commission shall levy and collect all fees, surcharges, civil penalties and taxes on adjusted gross internet gaming receipts imposed by this chapter, except as otherwise provided under this chapter.

(g) The commission shall have the authority to enforce this chapter and any rule or regulation of the commission and may request that the attorney general bring an action to enforce this chapter or any rule or regulation of the commission by civil action or petition for injunctive relief.

(h) The commission may hold hearings, administer oaths and issue subpoenas or subpoenas duces tecum in order to enforce this chapter and the rules and regulations of the commission.

(i) The commission shall identify opportunities to enter into internet gaming reciprocal agreements with jurisdictions from which wagers on internet games may be accepted.

(j) The commission may exercise any other powers necessary to effectuate this chapter and the rules and regulations of the commission.

Section 5. (a) A person shall not engage in any activity in connection with internet gaming in the commonwealth unless all required licenses have been obtained in accordance with this chapter and the rules and regulations of the commission.

(b) The commission shall not grant an operator license until it determines that each person who has control of the applicant meets all qualifications for licensure. For the purposes of this chapter, the following shall be considered to have control of an applicant: (i) a person who owns 10 per cent or more of a corporate applicant and who has the ability to control the activities of the corporate applicant; provided, however, that a bank or other licensed lending institution that holds a mortgage or other lien acquired in the ordinary course of business shall not be considered to have control of an applicant; (ii) a person who holds a beneficial or proprietary interest of 10 per cent or more of a non-corporate applicant's business operation and who has the ability to control the activities of the non-corporate applicant; and (iii) at the commission's discretion, an executive, employee or agent having the power to exercise significant influence over decisions concerning the applicant's internet gaming operations in the commonwealth.

(c) A person having control of an applicant pursuant to subsection (b) shall submit to the commission an application in a form determined by the commission. Each such person who is a natural person shall also submit to the commission: (i) fingerprints for a national criminal records check by the department of state police and the Federal Bureau of Investigation; and (ii) a signed authorization for the release of the person's information by the department of state police and the Federal Bureau of Investigation; provided, however, that a person having control of an applicant who is a natural person that has submitted to a national criminal records check in any jurisdiction within the previous year shall not be required to submit to another national criminal records check if such person submits to the commission the results of such previous

national criminal records check. Any applicant convicted of any disqualifying offense, as determined by the commission, shall not be licensed.

(d) Each person licensed under this chapter shall give the commission written notice not more than 30 days after any change to any material information provided in the application for a license or renewal.

(e) A commission employee shall not be an applicant for any license issued under this chapter.

Section 6. (a) A licensed qualified gaming entity may operate internet gaming upon the approval of the commission.

(b)(1) The commission shall issue a category 1 license to any holder of a gaming license, as defined in section 2 of chapter 23K, that meets the requirements of this chapter and the rules and regulations of the commission; provided, however, that any holder of a category 1 license shall not be issued a category 2 license. A holder of a category 1 license may offer internet gaming under a maximum of two internet gaming platforms. A holder of a category 1 license may contract with up to two internet gaming platform providers to operate the internet gaming platforms on its behalf. Each internet gaming platform shall be offered under a single distinct brand, except that each internet gaming platform may use a second distinct brand to offer poker. The internet gaming platforms shall not be required to be branded or co-branded with the brand of the category 1 licensee. This subsection does not prohibit a holder of a category 1 license from using fewer than two internet gaming platforms or from using a single brand to offer both internet poker and other internet games on an internet gaming platform.

(2) The commission shall issue a category 2 license to any entity that meets the requirements of this chapter and the rules and regulations of the commission; provided, however, the commission shall issue no more than 4 category 2 licenses. Any holder of a category 2 license shall not be issued a category 1 license. Each category 2 license permits the operation of internet gaming under one internet gaming platform. Each internet gaming platform offered pursuant to a category 2 license shall be offered under a single distinct brand, except that each platform may use a second distinct brand to offer poker. This subsection does not prohibit a holder of a category 2 license from using a single brand to offer both internet poker and other internet games. If there are more than 4 applicants for a category 2 license, the commission shall issue licenses to the applicants that the commission determines to be the best-qualified based on the following factors:

- (1) Expertise in the business of internet gaming;
- (2) Integrity, sustainability, and safety of the internet gaming platform;
- (3) Past relevant experience of the applicant;
- (4) Advertising and promotional plans to increase and sustain revenue;
- (5) The amount of adjusted gross internet gaming receipts and associated tax revenue that an applicant is projected to generate;
- (6) Demonstrated commitment to and plans for the promotion of responsible gaming;
- (7) Capacity to increase the number of bettors on the applicant's platform; and
- (8) History of doing business in the commonwealth.

(3) Nothing in this chapter shall require a category 2 licensee to partner with or have any commercial relationship with a category 1 licensee.

(c)(1) A qualified gaming entity may submit to the commission a request for a temporary license for the immediate commencement of internet gaming operations subject to paragraph (3) of this subsection. Such request shall include an initial licensing fee of \$1,000,000 payable to the commission.

(2) Upon receiving a request for a temporary license, the executive director of the commission shall review the request. If the executive director determines that the entity requesting the temporary license is a qualified gaming entity and has paid the internet gaming initial licensing fee pursuant to paragraph (1), the commission shall authorize the qualified gaming entity to conduct internet gaming for a period of 1 year under a temporary license or until a final determination on its operator license application is made.

(3) All qualified gaming entities that submit an application for temporary licensure within 30 days of the date on which the Commission first begins to accept applications for an internet gaming license shall be given an equal opportunity to commence offering, conducting, or operating internet gaming on the same day.

(d) Prior to issuing an operator license or an internet gaming provider license, the commission shall commence an investigation into the suitability of the applicant. The commission may use information obtained from the applicant pursuant to chapter 23K, chapter 23N, chapter 128A, chapter 128C, or information from other jurisdictions where the applicant is authorized to conduct internet gaming wagering. In evaluating the suitability of the applicant, the commission shall consider the overall reputation of the applicant including, but not limited to: (i)

the integrity, honesty, good character and reputation of the applicant; (ii) the financial stability, integrity and background of the applicant; (iii) the business practices and the business ability of the applicant to establish and maintain a successful internet gaming operation; (iv) whether the applicant has a history of compliance with gaming licensing requirements in other jurisdictions; (v) whether the applicant, at the time of application, has been issued a judgment against it in litigation involving its business practices; and (vi) the suitability of all parties in interest to the license, including affiliates and close associates, and the financial resources of the applicant.

(e) The commission may deny an application, if the commission determines during its investigation that an applicant has failed to: (i) establish the applicant's integrity or the integrity of any affiliate, close associate, financial resources or any person required to be qualified by the commission; (ii) demonstrate responsible business practices in any jurisdiction; or (iii) overcome any other reason, as determined by the commission, as to why it would be injurious to the interests of the commonwealth to award the applicant an operator license.

(f) Upon application by a qualified gaming entity that is not denied pursuant to subsection (e) and payment of the initial licensing fee pursuant to subsection (g) or (k), the commission shall grant a license to a qualified gaming entity that provides the right to conduct internet gaming; provided, that the qualified gaming entity shall meet the requirements for licensure under this chapter and the rules and regulations of the commission.

(g) An operator license shall be issued for a 5- year period upon payment of a \$5,000,000 initial licensing fee, and may be renewed for 5-year periods upon payment of a \$5,000,000 renewal fee; provided, that the operator shall continue to meet all requirements under this chapter and the rules and regulations of the commission. The commission shall credit any

initial licensing fee paid pursuant to paragraph (1) of subsection (c) to a successful applicant for an operator license or an internet gaming platform provider license against the licensing fee due under this subsection or subsection (k).

(h) An operator shall submit to the commission such documentation or information as the commission may require to demonstrate that the operator continues to meet the requirements of this chapter and the rules and regulations of the commission. An operator shall submit required documentation or information no later than 5 years after issuance of its operator license and every 5 years thereafter, or within lesser periods based on circumstances specified by the commission. Any request from the commission for such documentation within a lesser period shall provide at least 120 days for the operator to comply.

(i) No licensee shall transfer an operator license, or any direct or indirect interest in the license, without the majority approval of the commission. A person seeking to acquire such license through a transfer shall qualify and otherwise be determined by the commission to be eligible for licensure under this chapter. The commission may reject a proposed license transfer or a proposed transfer of interest in the license to an unsuitable person and may reject a proposed transfer that, in the determination of the commission, would be injurious to the interests of the commonwealth. The commission may promulgate regulations governing this process which may include assessment of a fee to reflect the cost associated with reviewing the proposed transfer. Such fee shall not exceed \$200,000.

(j) Applications for operator licenses shall be public records under section 10 of chapter 66; provided however, that trade secrets, competitively-sensitive or other proprietary

information provided in the course of an application for an operator license under this chapter shall be withheld from disclosure under said section 10 of said chapter 66.

(k) The commission shall establish by regulation licensing standards, application requirements, and fees for internet gaming platform providers.

Section 7. (a) An applicant for an operator license shall pay to the commission a nonrefundable processing fee of \$200,000 for the costs associated with the processing of the application and investigation of the applicant; provided, however, that if the costs of the investigation exceed the initial application fee, the applicant shall pay the additional amount to the commission not more than 30 days after notification of insufficient fees or the application shall be rejected.

(b) All fees in this section shall be deposited into the Internet Gaming Control Fund established in section 14.

Section 8. (a) All persons employed by an operator to perform duties directly related to the operation of internet gaming in the commonwealth in a supervisory role shall maintain a valid occupational license issued by the commission. The commission shall issue such occupational license to a person who meets the requirements of this section. The holder of an occupational license issued by the commission pursuant to Chapter 23K or 23N shall be deemed qualified to hold an occupational licensing for internet gaming without additional review.

(b) An occupational license authorizes the licensee to be employed in the capacity designated by the commission while the license is active. The commission may establish, by rule or regulation, job classifications with different requirements based on the extent to which a particular job impacts, or has the potential to impact, the lawful operation of internet gaming.

(c) An applicant for an occupational license shall submit any required application forms established by the commission and shall pay a nonrefundable application fee of \$100. An employer may pay an application fee on behalf of an applicant.

(d) Not later than March 1 of the third calendar year following the issuance or renewal of an occupational license, an occupational license holder shall pay a nonrefundable license renewal fee of \$100 and submit a renewal application on a form established by the commission. An employer may pay the license renewal fee on behalf of the licensed employee.

Section 9. (a) The commission may deny a license to any applicant, reprimand any licensee or suspend or revoke a license if the applicant or licensee: (i) has knowingly made a false statement of a material fact to the commission; (ii) has had a license revoked by any governmental authority responsible for regulation of gaming activities; (iii) has been convicted of a felony or other crime involving embezzlement, theft, fraud, perjury, or a gambling-related offense; (iv) has not demonstrated to the satisfaction of the commission financial responsibility sufficient to adequately meet the requirements of the proposed enterprise; (v) has affiliates or close associates that would not qualify for a license or whose relationship with the applicant may pose an injurious threat to the interests of the commonwealth in awarding an operator license to the applicant; or (vi) in the case of an operator or an applicant for an operator license, is not the true owner of the business or is not the sole owner and has not disclosed the existence or identity of other persons who have an ownership interest in the business.

(b) The commission may deny, suspend or revoke an operator license or reprimand any licensee if the applicant or licensee has not met the requirements of this chapter.

Section 10. (a) An operator shall post rules for game play governing each internet game available to the operator's patrons.

(b) The game rules, together with any other information the commission deems appropriate, shall be accessible to any patrons of the internet gaming operator.

Section 11. (a) An operator shall employ commercially reasonable methods to: (i) prohibit the operator, directors, officers, owners and employees of the operator and any relative living in the same household as any such person from placing wagers with the operator; (ii) (iii) prohibit persons from placing wagers as agents or proxies for others; and (iv) maintain the security of wagering data, customer data and other confidential information from unauthorized access and dissemination; provided, however, that nothing in this chapter shall preclude the use of internet or cloud-based hosting of such data and information or disclosure as required by court order, other law or this chapter.

(b) The commission shall designate a state law enforcement entity to have primary responsibility for conducting, or assisting the commission in conducting, investigations into potentially criminal conduct related to internet gaming.

(c) The commission and operators shall use commercially reasonable efforts to cooperate with investigations conducted by law enforcement agencies, including, but not limited to, using commercially reasonable efforts to provide or facilitate the provision of anonymized account-level betting information relating to persons placing wagers. All disclosures under this section are subject to the obligation of an operator to comply with all federal, state and local laws and regulations, including, but not limited to, laws and regulations relating to privacy and personally identifiable information.

(d) An operator shall use commercially reasonable efforts to cooperate with the commission in all gaming-related investigations. Each gaming licensee shall make readily available all documents, materials, equipment, personnel and any other items requested during an investigation; provided, however, that material that the gaming licensee considers a trade secret or detrimental to the gaming licensee if it were made public may, with the commission's approval, be protected from public disclosure and the gaming licensee may require nondisclosure agreements with the commission before disclosing such material.

(e) An operator shall immediately report to the commission any information relating to: (i) criminal or disciplinary proceedings commenced against the operator in connection with its operations; or (ii) suspicious or illegal wagering activities, including, but not limited to: (A) use of funds derived from illegal activity; (B) wagers to conceal or launder funds derived from illegal activity; (C) use of agents to place wagers; and (D) use of false identification.

(f) An operator shall make commercially reasonable efforts to maintain records of all wagers placed by its patrons, including: (i) personally identifiable information of a patron who places a wager through an internet gaming platform; (ii) amount and type of the wager; (iii) the time the wager was placed; (iv) the location of the wager, including the Internet Protocol address if applicable; (v) the outcome of the wager; and (vi) records of abnormal wagering activity for 3 years after the activity occurs. The commission may request personally identifiable information only in instances where anonymized information is insufficient to fulfill a specified regulatory need pursuant to section (f). An operator shall make these records available for inspection upon request of the commission or as required by court order.

(g) An operator shall use commercially reasonable efforts to maintain, in real time and at the account level, anonymized information for each patron, including: (i) the amount and type of wager

(ii) the time the wager was placed; (iii) the location of the wager, including the Internet Protocol address if applicable; (iv) the outcome of the wager; and (v) records of abnormal wagering activity. The commission may request the information in the form and manner as it requires. The commission shall request anonymized data unless there is a specific need for personalized information pursuant to section (e) in which case the basis for such need shall be disclosed to the operator, which shall have the opportunity to appeal such request. Nothing in this section shall require an operator to provide any information prohibited by federal, state or local laws or regulations, including, but not limited to, laws and regulations relating to privacy and personally identifiable information.

(g) An operator shall conduct a single background check on any employee hired before the operator was issued an operator license. Background checks shall search for criminal history, charges or convictions involving corruption and association with organized crime.

Section 12. (a) An operator shall: (i) employ a monitoring system to identify irregularities that could signal criminal activities and promptly report such information to the commission for further investigation; provided, however, that system requirements and specifications shall be developed according to industry standards and implemented by the commission as part of the minimum internal control standards; (ii) promptly report to the commission any facts or circumstances related to the operation of a internet gaming license that constitute a violation of state or federal law and promptly report to the appropriate state or federal authorities any

suspicious betting over a threshold set by the operator that has been approved by the commission; (iii) conduct all internet gaming activities and functions in a manner that does not pose a threat to the public health, safety or welfare of the residents of the commonwealth; (iv) keep current in all payments and obligations to the commission; (v) prevent any person from tampering or interfering with the operation of internet gaming; (vi) ensure that internet gaming occurs only using a commission-approved internet gaming platform to accept wagers initiated within the commonwealth or a permissible jurisdiction; (vii) maintain sufficient cash and other supplies to conduct internet gaming at all times; (viii) maintain daily records showing the gross internet gaming receipts and adjusted gross internet gaming receipts of the operator; (ix) timely file with the commission any additional reports required by this chapter or by any rule or regulation; and (x) use commercially reasonable efforts to prevent a person under 21 years old from placing a wager.

Section 13. (a) Holders of category 1 and category 2 licenses may accept wagers on internet games authorized pursuant to this chapter.

(b) Holders of an operator license may accept wagers on internet games authorized pursuant to this chapter from individuals physically located within the commonwealth or a permissible jurisdiction using internet gaming platforms approved by the commission, through the patron's internet gaming account. The branding for each internet gaming platform shall be determined by the operator. All bets authorized pursuant to this section must be initiated within the commonwealth or a permissible jurisdiction. Consistent with the intent of the federal Unlawful Internet Gambling Enforcement Act of 2006, 31 U.S.C. section 5361 to 5367, inclusive, the intermediate routing of electronic data related to a lawful wager authorized

pursuant to this chapter shall not determine the location or locations in which the wager is initiated, received or otherwise made.

(c) An internet gaming operator shall be permitted to offer live dealer internet games simulcast from a live internet game environment in any location. Live internet game environments shall not be required to be located in the commonwealth.

(d) An operator shall not knowingly accept a wager from a person who is less than 21 years of age.

(e)(1) The commission or operator may ban any person from participating in the play or operation of any internet gaming consistent with rules and regulations promulgated by the commission. A list of all excluded patrons shall be kept by the commission and provided to each licensee. No patron on the exclusion list shall be permitted to participate in internet gaming pursuant to this chapter.

(2) The commission shall establish a list of self-excluded persons from internet gaming. A person may request their name to be placed on the list of self-excluded persons by filing a statement with the commission acknowledging that they are a problem gambler and by agreeing that, during any period of voluntary exclusion, they shall not collect any winnings or recover any losses resulting from any internet gaming. The commission shall adopt further regulations for the self-excluded persons list including procedures for placement, removal and transmittal of the list to internet gaming operators. The commission may adopt regulations to exclude from participation in internet gaming any person that has self-excluded from sports wagering pursuant to Chapter 23N. The commission may revoke, limit, condition, suspend or fine an internet gaming operator if the operator knowingly or recklessly fails to exclude any

person placed on the list of self-excluded persons. The list of self-excluded persons from internet gaming shall not be open to public inspection.

(3) An operator that operates internet gaming may allow patrons to set self-imposed limitations on the internet gaming platform.

(f) No employee may place an internet gaming wager through any internet gaming platform owned or operated by their employer.

(g) Sections 24, 24A and 27 of chapter 10 of the General Laws shall not apply to an operator conducting internet gaming in accordance with this chapter.

Section 14. (a) An excise is hereby imposed upon internet gaming operators in the commonwealth at the rate of 20 per cent of the operator's adjusted gross internet gaming receipts. The accrual method of accounting shall be used for purposes of calculating the amount of the tax owed by the licensee. The excise shall be paid to the commission at the time provided for filing the return pursuant to subsection (c).

(b) Promotional credits shall be calculated into an operator's adjusted gross internet gaming receipts according to this subsection.

(1) Until January 1, 2028, when determining the promotional credits deduction used for calculating "adjusted gross internet gaming receipts" each month, as defined in Section 3, an internet gaming operator shall include all promotional credits used by patrons.

(2) On or after January 1, 2028, when determining the promotional credits deduction used for calculating "adjusted gross internet gaming receipts" each month, as defined in Section 3, an

478 internet gaming operator shall only include a portion of the total promotional credits used by
479 patrons as follows:

480 (A) on and after January 1, 2028, through June 30, 2029, no more than two and one-
481 half percent of the total amount of all wagers placed by patrons with that internet gaming
482 operator each month;

483 (B) on and after July 1, 2029, through June 30, 2030, no more than two and one-
484 fourth percent of the total amount of all wagers placed by patrons with that internet gaming
485 operator each month;

486 (C) on and after July 1, 2030, through June 30, 2031, no more than two percent of the
487 total amount of all wagers placed by patrons with that internet gaming operator each month; and

488 (D) on and after July 1, 2031, no more than one and three-quarters percent of the total
489 amount of all wagers placed by patrons with that internet gaming operator each month.

490 (3) For the purposes of subsection (b)(2) of this section, a mobile sports betting
491 operator shall not:

492 (A) carry over to the next month any promotional credits placed in excess of the
493 deduction allowed for any month; or

494 (B) carry forward any unused free bet credits accumulated before January 1, 2028.

495 (c)(1) The excise imposed and collected pursuant to subsection shall be due and payable
496 to the commission in monthly installments on or before the fifteenth calendar day following the
497 calendar month in which the adjusted gross internet gaming receipts were received.

(2) On or before the fifteenth calendar day of each month, the operator shall complete and submit the return for the preceding month by electronic communication to the commission in a form prescribed by the commission that provides:

(i) the total gross internet gaming receipts and adjusted gross internet gaming receipts from operation of internet gaming during that month; and

(ii) any additional information necessary in the computation and collection of the tax on adjusted gross internet gaming receipts required by the commission.

(3) The excise amount shown to be due shall be remitted by electronic funds transfer simultaneously with the filing of the return.

(4) When an operator's adjusted gross internet gaming receipts for a month is a negative number because the winnings paid to wagerers and excise taxes paid pursuant to federal law exceed the operator's total gross receipts from internet gaming, the commission shall allow the operator to carry over the negative amount to returns filed for subsequent months. The negative amount of adjusted internet gaming receipts shall not be carried back to an earlier month and taxes previously received by the commission shall not be refunded unless the operator surrenders its license and the operator's last return reported negative adjusted internet gaming receipts.

(d) The excise on adjusted gross internet gaming receipts imposed by this section shall be in lieu of all other state and local taxes and fees imposed on the operation of, or the proceeds from operation of, internet gaming.

(e) Annually, not later than July 1, the commission shall publish on its website a report stating the amount in fees, surcharges and civil penalties received from operators and taxes received from operators and from people or entities that offer internet gaming.

Section 15. (a) There shall be established and set up on the books of the commonwealth a separate fund to be known as the Internet Gaming Control Fund. The commission shall be the trustee of the fund and shall expend money to finance the operational activities of the commission pertaining to internet gaming. The fund shall be credited with: (i) any appropriation, bond proceeds or other monies authorized by the general court and specifically designated to be credited thereto; (ii) the proceeds of any fees collected pursuant to this section unless otherwise specified; (iii) fees collected pursuant to sections 7 and 8; and (iv) such additional funds as are subject to the direction and control of the commission. All available money in the fund that is unexpended at the end of each fiscal year shall not revert to the General Fund and shall be available for expenditure in the subsequent fiscal year.

(b) The commission shall establish fees for any investigation into a violation of this chapter or regulation promulgated hereunder by an internet gaming operator to be paid by the internet gaming operator including, but not limited to, billable hours by commission staff involved in the investigation and the costs of services, equipment or other expenses that are incurred by the commission during the investigation.

(c) The commission's costs of regulating internet gaming shall be covered by: (i) the fees set forth in subsection (b); (ii) any other fees specified in this chapter; or (iii) any other designated sources of funding. The commission shall not assess internet gaming operators

539 pursuant to this chapter in proportion to each operator's share of the commonwealth's total
540 adjusted gross internet gaming receipts.

541 (d) If the fees collected pursuant to subsections (b) and (c) exceed the cost required to
542 maintain regulatory control, the surplus funds shall be credited in proportional shares against
543 each internet gaming operator's next assessment.

544 (e) The commission shall annually assess and collect a \$1,000,000 fee in shares
545 to be determined by the commission against each internet gaming operator. The fee collected
546 pursuant to this subsection shall be deposited into the Public Health Trust Fund established in
547 section 58 of said chapter 23K and shall be used for the costs of services and public health
548 programs provided for in said section 58 of said chapter 23K.

549 Section 16. (a) The commission may assess a civil administrative penalty on an operator
550 who fails to comply with any provision of this chapter or any regulation or order adopted by the
551 commission; provided, however, that the noncompliance shall have occurred after the
552 commission has given such operator written notice of the noncompliance and the time stated in
553 the notice for coming into compliance has elapsed; provided further, that the commission may
554 assess a penalty without providing written notice if the failure to comply: (i) was part of a pattern
555 of noncompliance and not an isolated instance; (ii) was willful or neglectful and not the result of
556 error; (iii) resulted in a significant breach to the integrity of the operator or the internet gaming
557 laws of the commonwealth; or (iv) consisted of failure to promptly report to the commission any
558 knowledge of evidence or circumstances that would cause a reasonable person to believe that a
559 violation of this chapter has been committed. The civil administrative penalty shall be in addition
560 to any other civil penalty that may be prescribed by law.

(b) For the purpose of determining whether such noncompliance was part of a pattern of noncompliance and not an isolated instance, the commission shall consider, but not be limited to; (i) whether the commission had previously notified the operator of such noncompliance on more than 1 occasion during the previous month or of any noncompliance with the same provision of a law, regulation, order, license or approval as the current noncompliance during the previous 6-month period; or (ii) whether the current and previous instances of noncompliance, considered together, indicate a potential threat to the integrity of the operator and internet gaming in the commonwealth or an interference with the commission's ability to efficiently and effectively regulate internet gaming in the commonwealth and enforce any regulation, license or order. If an operator that has received a notice of noncompliance fails to come into compliance within the time period stated in the notice, the civil administrative penalty may be assessed by the commission upon the operator from the date of receipt of such notice.

(c) If the commission seeks to assess a civil administrative penalty on an operator, the commission shall cause to be served upon the operator, by service in hand or by certified mail, return receipt requested, a written notice of its intent to assess a civil administrative penalty that shall include: (i) a concise statement of the alleged act or omission for which such civil administrative penalty is sought to be assessed; (ii) each law, regulation, order, license or approval that has not been complied with as a result of such alleged act or omission; (iii) the amount that the commission seeks to assess as a civil administrative penalty for each alleged act or omission; (iv) a statement of the operator's right to an adjudicatory hearing on the proposed assessment; (v) the requirements the operator shall comply with to avoid being deemed to have waived the right to an adjudicatory hearing; and (vi) the manner of payment thereof if the operator elects to pay the penalty and waive an adjudicatory hearing. After written notice of

584 noncompliance or intent to assess a civil administrative penalty has been given, each day
585 thereafter during which noncompliance occurs or continues shall constitute a separate offense
586 and shall be subject to a separate civil administrative penalty if reasonable efforts have not been
587 made by the operator to promptly come into compliance.

588 (d) If the commission seeks to assess a civil administrative penalty on an operator, the
589 operator shall have the right to an adjudicatory hearing under chapter 30A, the provisions of
590 which shall apply except when they are inconsistent with the provisions of this chapter.

591 (e) An operator shall be deemed to have waived its right to an adjudicatory hearing
592 unless, not more than 21 days after the date of the commission's notice that the commission seeks
593 to assess a civil administrative penalty, the operator files with the commission a written
594 statement denying the occurrence of any of the acts or omissions alleged by the commission in
595 the notice or asserting that the amount of the proposed civil administrative penalty is excessive.
596 In an adjudicatory hearing authorized under chapter 30A, the commission shall be required to
597 prove, by a preponderance of the evidence, the occurrence of each act or omission alleged by the
598 commission in the notice.

599 (f) If an operator waives the right to an adjudicatory hearing, the proposed civil
600 administrative penalty shall be final immediately upon such waiver. If a civil administrative
601 penalty is assessed at the conclusion of an adjudicatory hearing, the civil administrative penalty
602 shall be final upon the expiration of 30 days unless an action for judicial review of the decision is
603 commenced under chapter 30A.

604 (g) An operator who institutes proceedings for judicial review of the final assessment
605 of a civil administrative penalty shall place the full amount of the final assessment in an interest-

bearing escrow account in the custody of the clerk or magistrate of the reviewing court. The establishment of an interest-bearing escrow account shall be a condition precedent to the jurisdiction of the reviewing court unless the party seeking judicial review demonstrates, in a preliminary hearing held not more than 20 days after the filing of the complaint, the presence of a substantial question for review by the court or the operator's inability to pay. Upon such a demonstration, the court may grant an extension or waiver of the interest-bearing escrow account requirement or may require, in lieu of such interest-bearing escrow account, the posting of a bond payable directly to the commonwealth in the amount of 125 per cent of the assessed penalty.

If, after judicial review, in a case where the escrow account requirement has been waived, and in cases where a bond has been posted in lieu of such requirement, the court affirms, in whole or in part, the assessment of a civil administrative penalty, the commission shall be paid the amount thereof together with interest at the rate provided in section 6C of chapter 231. If, after judicial review in a case where an interest-bearing escrow account has been established, the court affirms the assessment of such penalty, in whole or in part, the commission shall be paid the amount thereof together with the accumulated interest in the interest-bearing escrow account. If the court sets aside the assessment of a civil administrative penalty in a case where the amount of such penalty has been deposited in an interest-bearing escrow account, the operator on whom the civil administrative penalty was assessed shall be repaid the amount so set aside, together with the accumulated interest thereon.

(h) Each operator who fails to timely pay a civil administrative penalty and each operator who issues a bond under this section and fails to timely pay to the commission the amount required for the bond, shall be liable to the commonwealth for up to 3 times the amount

of the civil administrative penalty, together with costs, plus interest accrued from the time the civil administrative penalty became final and attorneys' fees, including all costs and attorneys fees incurred directly in the collection of the penalty. The rate of interest shall be the rate provided in section 6C of chapter 231. The commission may require that the amount of a civil administrative penalty imposed under this section exceed any economic benefit realized by a person.

(i) The commission may impose conditions on, suspend or revoke an operator's license or reprimand or assess a fine on an operator upon a finding that the operator: (i) has committed a criminal or civil offense under this chapter or under any other law; (ii) is not in compliance with internet gaming regulations promulgated pursuant to this chapter; (iii) is under criminal investigation in another jurisdiction; (iv) has breached a condition of licensure; (v) has affiliates, close associates or employees that are not qualified or licensed under this chapter with whom the operator continues to conduct business or employ; (vi) is no longer capable of maintaining operations as an internet gaming operator; or (vii) whose business practice, upon a determination by the commission, is injurious to the policy objectives of this chapter.

Section 17. There shall be established and set up on the books of the commonwealth an Internet Gaming Fund which shall receive revenues collected pursuant to sections 6 and 14. The commission shall be the trustee of the fund and shall transfer monies from the fund as follows:

- (1) 45 per cent to the General Fund;
- (2) 17.5 per cent to the Workforce Investment Trust Fund established in section 18;

650 (3) 27.5 per cent to the Gaming Local Aid Fund established in section 63 of section
651 23K;

652 (4) 1 per cent to the Youth Development and Achievement Fund established in
653 section 19; and

654 (5) 9 per cent to the Public Health Trust Fund established in section 58 of section
655 23K.

656 Section 18. (a) There shall be credited to the Workforce Investment Trust Fund any
657 internet gaming revenue transferred from the Internet Gaming Fund pursuant to section 16.
658 Monies transferred to the fund shall be continuously expended, without regard for fiscal year,
659 exclusively for carrying out the purposes of this section. Money remaining in the fund at the end
660 of a fiscal year shall not revert to the General Fund.

661 (b) The fund shall be administered by the secretary of housing and economic
662 development. Money in the fund shall be competitively granted to develop and strengthen
663 workforce opportunities for low- income communities and vulnerable youth and young adults in
664 the commonwealth, including providing opportunities and strategies to promote stable
665 employment and wage growth.

666 (c) Eligible grant recipients shall provide opportunities which: (i) target at risk youth,
667 including resources to empower youth to succeed in the workforce; (ii) provide job skills
668 trainings, including programs offering trainings in multiple languages and areas for development,
669 including education and hands on skills; (iii) promote adult literacy, including strategies to
670 master reading and writing and providing digital formats to increase accessibility; and (iv)
671 provide English language learning programs to promote access to the workforce. The secretary

672 of housing and economic development shall establish criteria to evaluate applications for the
673 grant program; provided, that the criteria shall include, but shall not be limited to, at risk
674 populations; provided further, that preference shall be given to eligible grant recipients providing
675 opportunities for individuals who meet at least 2 of the following: (i) is under 30 years of age;
676 (ii) is a victim of violence; (iii) is over 18 years of age and does not have a high school diploma;
677 (iv) has been convicted of a felony; (v) has been unemployed or has had a family income below
678 250 per cent of the federal poverty level for not less than 6 months; (vi) lives in a census tract
679 where over 20 per cent of the populations fall below the federal poverty line; or (vii) is an
680 immigrant, refugee or person of color.

681 (d) Annually, not later than October 1, the secretary of housing and economic
682 development shall provide a report of the grants given and a breakdown of expenditures made by
683 the fund. The report shall be posted on the website of the executive office of housing and
684 economic development.

685 Section 18. (a) The commission may impose on any person who violates this chapter a
686 civil penalty not to exceed \$2,000 for each violation or \$5,000 for violations arising from the
687 same series of events. Such penalty shall be imposed on all persons and is not limited to persons
688 licensed under this chapter.

689 (b) The commission may condition, suspend, reprimand, assess a fine or revoke an
690 operator license upon a finding that a licensee: (i) has committed a criminal or civil offense
691 under this chapter or under any other laws of the commonwealth; (ii) is not in compliance with
692 internet gaming regulations; (iii) is under criminal investigation in another jurisdiction; (iv) has
693 breached a condition of licensure; (v) has affiliates, close associates or employees that are not

qualified or licensed under this chapter with whom the licensee continues to conduct business or employ; (vi) is no longer capable of maintaining operations as an internet gaming operator; or (vii) whose business practice, upon a determination by the commission, is injurious to the policy objectives of this chapter.

Section 19. (a) Whoever, other than an operator under this chapter, engages in accepting, facilitating or operating an internet gaming operation shall be punished by imprisonment in the house of correction for not more than 90 days or by a fine not to exceed \$10,000, or both; and for a second offense, by imprisonment in the house of correction for not more than 6 months or by a fine of not more than \$50,000, or both; and in the case of a third or subsequent violation by imprisonment in the state prison for not less than 1 but not more than 5 years or by a fine of not less than \$25,000 and not more than \$100,000, or both.

Section 22. An operator shall not discharge, demote, suspend, threaten, harass or in any other manner discriminate against an employee because of any lawful act done by the employee to provide information, cause information to be provided or otherwise assist in an investigation regarding any conduct that the employee reasonably believes constitutes a violation of this chapter.

Section 23. (a) The commission shall develop an annual research agenda in order to understand the social and economic effects of internet gaming in the commonwealth and to obtain scientific information relative to the neuroscience, psychology, sociology, epidemiology and etiology of internet gaming. The secretary of health and human services, with the advice and consent of the commission, may expend funds from the Public Health Trust Fund established in section 58 of chapter 23K to implement the objectives of the internet gaming research agenda;

provided, however, that the objectives of the internet gaming research agenda shall, to the extent practicable, be substantially similar to the objectives of the research agenda established under section 71 of said chapter 23K. The internet gaming research agenda shall also include, but not be limited to: (i) an assessment of whether problem internet gaming is comorbid with problem gambling; (ii) an assessment as to whether the individuals participating in internet gaming are different than those who participate in other forms of gaming or gambling; (iii) an assessment of the impact of internet gaming on youth under the age of 25; and (v) the costs of implementing this chapter.

(b) Annually, the commission shall make scientifically-based recommendations that reflect the results of the research under clause (a) to the clerks of the senate and house of representatives, the senate and house committees on ways and means, the joint committee on economic development and emerging technologies, the joint committee on mental health, substance use and recovery and the joint committee on public health. The commission shall consider any such recommendations, research and findings in all decisions related to enhancing responsible gambling and mitigating problem internet gaming. The recommendations shall be posted on the commission's website.

Section 24. (a) The commission may enter into internet gaming reciprocal agreements, provided such agreements are not inconsistent with federal law and the law of the jurisdiction in which the person placing a wager is located.

(b) An internet gaming operator in this commonwealth may accept internet gaming wagers from persons physically located in a permissible jurisdiction pursuant to a reciprocal agreement.

(c) A reciprocal agreement with a permissible jurisdiction may allow a person physically located in this commonwealth to place a wager with an internet gaming operator in such permissible jurisdiction.

SECTION 5. Section 1 of chapter 137 of the General Laws, as appearing in the 2024 Official Edition, is hereby amended by inserting after the figure "23N", in line 3, the following words:- or internet gaming conducted pursuant to chapter 23O.

SECTION 6. Section 2 of said chapter 137, as so appearing, is hereby amended by inserting after the figure "23N", in line 3, the following words:- or an operator who offers internet gaming pursuant to chapter 23O.

SECTION 7. Section 3 of said chapter 137, as so appearing, is hereby amended by inserting after the figure "23N", in line 7, the following words:- or internet gaming conducted pursuant to chapter 23O.

SECTION 8. Section 1 of chapter 271 of the General Laws, as so appearing, is hereby amended by striking out, in line 4, the words "chapter 23K and 23N" and inserting in place thereof the following words:- chapters 23K, 23N, and 23O.

SECTION 9. Section 2 of said chapter 271, as so appearing, is hereby amended by striking out, in line 4, the words "chapters 23K and 23N" and inserting in place thereof the following words:- chapters 23K, 23N, and 23O.

SECTION 10. Section 3 of said chapter 271, as so appearing, is hereby amended by striking out, in line 1, the words "chapters 23K and 23N" and inserting in place thereof the following words:- chapters 23K, 23N, and 23O.

759 SECTION 11. Section 5 of said chapter 271, as so appearing, is hereby amended by
760 striking out, in line 1, the words "chapters 23K and 23N" and inserting in place thereof the
761 following words:- chapters 23K, 23N, and 23O.

762 SECTION 12. Section 5A of said chapter 271, as so appearing, is further amended by
763 inserting after the words "chapter 23N", in line 32, the following words:- or internet gaming
764 conducted pursuant to chapter 23O.

765 SECTION 13. Section 5B of said chapter 271, as so appearing, is hereby amended by
766 striking out, in line 58, the words "chapters 23K and 23N" and inserting in place thereof the
767 following words:- chapters 23K, 23N, and 23O.

768 SECTION 14. Section 8 of said chapter 271, as so appearing, is hereby amended by
769 striking out, in lines 10 to 11, the words "other game that is not being conducted pursuant to
770 chapter 23K and any other sports wagering that is not being conducted pursuant to chapter 23N."
771 and inserting in place thereof the following words:- other game that is not being conducted
772 pursuant to chapter 23K, any other sports wagering that is not being conducted pursuant to
773 chapter 23N, and any other internet gaming that is not being conducted pursuant to chapter 23O.

774 SECTION 15. Section 17 of said chapter 271, as so appearing, is hereby amended by
775 inserting after the words "chapter 23N", in line 27, the following words:- or for the purpose of
776 internet gaming conducted in accordance with chapter 23O.

777 SECTION 16. Said chapter 271, as so appearing, is hereby further amended by striking
778 out section 17A and inserting in place thereof the following section:-

Section 17A. Except as permitted under chapter 23N and chapter 23O, whoever uses a telephone, internet or other communications technology or, being the occupant in control of premises where a telephone, internet or other communications technology is located or a subscriber for such communications technology, knowingly permits another to use a telephone, internet or other communications technology so located or for which such person subscribes, as the case may be, for the purpose of accepting wagers or bets, or buying or selling of pools, or for placing all or any portion of a wager with another, upon the result of a trial or contest of skill, speed or endurance of man, beast, bird or machine, or upon the result of an athletic game or contest, or upon the lottery called the numbers game, or for the purpose of reporting the same to a headquarters or booking office, or who under another name or otherwise falsely or fictitiously procures telephone, internet or other communications technology service for oneself or another for such purposes, shall be punished by a fine of not more than \$2,000 or by imprisonment for not more than 1 year; provided, however, that this section shall not apply to use of telephones or other devices or means to place wagers authorized pursuant to the provisions of section 5C of chapter 128A.

SECTION 17. Section 19 of said chapter 271, as so appearing, is hereby amended by inserting after the words "chapter 23N", in line 19, the following words:- or to advertising of internet gaming conducted pursuant to chapter 23O.

SECTION 18. Section 20 of said chapter 271, as so appearing, is hereby amended by adding the following sentence:- Nothing in this section shall prohibit an operator licensed under chapter 23O from posting, advertising or displaying materials relevant to its internet gaming operations.

SECTION 19. Section 23 of said chapter 271, as so appearing, is hereby amended by inserting after the words "chapter 23N", in line 31, the following words:- or internet gaming conducted pursuant to chapter 23O.

SECTION 20. Section 27 of said chapter 271, as so appearing, is hereby amended by inserting after the words "chapter 23N", in line 15, the following words:- or internet gaming conducted pursuant to chapter 23O.

SECTION 21. Section 28 of said chapter 271, as so appearing, is hereby amended by inserting after the word "chapter 23N", in line 12, the following words:- or internet gaming conducted pursuant to chapter 23O.

SECTION 22. Section 42 of said chapter 271, as so appearing, is hereby amended by inserting after the words "chapter 23N", in line 4, the following words:- or internet gaming conducted pursuant to chapter 23O.

SECTION 23. The Massachusetts gaming commission shall conduct a study on the participation by minority business enterprises, women business enterprises and veteran business enterprises in the internet gaming industry in the commonwealth. The study shall include, but not be limited to, an analysis of: (i) participation in activities related to the regulation, licensing and promotion of internet gaming operators; (ii) the level of participation of women, minority and veteran employees working for internet gaming licensees and employers; (iii) the level of participation by minority-owned and women-owned businesses that contract with or provide services to internet gaming licensees and employers; (iv) any barriers to employment of women and minorities in the internet gaming industry; and (v) methods for increasing racial and gender diversity in the workforce in the internet gaming industry, including whether to set reasonable

823 and appropriate goals and procedures for increasing the number of minority business enterprises
824 providing internet gaming industry-related services to internet gaming licensees and employers.
825 The commission shall report on its findings and submit any recommendations to the clerks of the
826 senate and house of representatives, the house and senate committees on ways and means, the
827 joint committee on racial equity, civil rights, and inclusion and the joint committee on economic
828 development and emerging technologies not later than December 31, 2025.